

2. In the case of preferred stocks:

- a. Nonpayment of (cumulative) preferred dividends for a period of time.
- b. Creation of funded debt or a prior stock issue.
- c. Dilution of a conversion (or subscription) privilege.

A frequent, but less general, provision requires the maintenance of working capital at a certain percentage of the bonded debt of industrial companies. (In the case of investment-trust or holding-company bonds it is the *market value* of all the assets which is subject to this provision.)

The remedies provided for bondholders in cases falling under 1a and 1b above are fairly well standardized. Any one of these untoward developments is designated as an “event of default” and permits the trustee to declare the principal of the bond issue due and payable in advance of the specified maturity date. The provisions therefor in the indenture are known as “acceleration clauses.” Their purpose in the main is to enable the bondholders to assert the full amount of their claim in competition with the other creditors.

Contradictory Aspects of Bondholders’ Legal Rights. In considering these provisions from a critical standpoint, we must recognize that there are contradictory aspects to the question of the bondholders’ legal rights. Receivership¹ is a dreaded word in Wall Street; its advent means ordinarily a drastic shrinkage in the price of all the company’s securities, including the bonds for the “benefit” of which the receivership was instituted. As we pointed out in a former chapter, the market’s appraisal of a bond in default is no higher on the whole, and perhaps lower, than that of a non-dividend-paying preferred stock of a solvent company.

The question arises, therefore, whether the bondholders might not be better off if they did not have any enforceable claim to principal or interest payments *when conditions are such as to make prompt payment impossible*. For at such times the bondholder’s legal rights apparently suc-

¹ “Receivership” was formerly a convenient term, applying to all kinds of financial difficulties that involved court action. As a result of the Chandler Act (Bankruptcy Act of 1938), receivers have been largely replaced by trustees. No doubt the word “receivership” will continue to be used—for a while at least—because the terms “trusteeship” and “bankruptcy” are not quite satisfactory, the former being somewhat ambiguous, the latter having an overdrastic connotation. “Insolvency” is a suitable word but awkward to use at times.

So-called “equity receivers” will still be appointed in the future in connection with stockholder’s suits, voluntary liquidations, and other special matters.